

Appeal of Karen Stratman, Lu Holland, and Chair 7 Community Coalition Inc.

July 23, 2026 Telluride Planning and Zoning Commission (“**P&Z**”) decision approving a Preliminary Large-Scale Subdivision consolidating Lots 34 and 34B, Backman Village Subdivision

APPELLANTS’ PRE-HEARING BRIEF

I. INTRODUCTION

This appeal concerns the approval by P&Z of the application of Design Workshop as agent for property owner Town of Telluride (“**Applicant**”), for a Preliminary Large-Scale Subdivision consolidating Lots 34 and 34B, Backman Village Subdivision (“**Application**”).

This pre-hearing brief on behalf of Appellants concerns the narrow issue of the failure of the Town Attorney to make a mandatory threshold determination under LUC § 5-202.C.3, which requires that a development application “demonstrate to the satisfaction of the Town Attorney that the applicant has the right to submit the development application.”

This provision creates a mandatory threshold screening by the Town Attorney of an applicant’s right to submit the development application. For the Application subject to this appeal, the record contains no such Town Attorney determination.

Rather, the record contains:

- The Applicant’s one-sentence assertion of fee title;
- The Planning Director’s statement that the application was “complete and compliant . . . pursuant to 5-202.C”;
- A title commitment listing the Backman Village Plat and Covenants;

- The 2008 Geiger Memorandum with the Town Attorney’s written conclusion that amending the Backman Village covenants requires the consent of the Backman Village owners;
- The Town Attorney’s 2024 email to the owner of Tract Y that the Backman Village Covenants likely require consent of the Backman Village owners;
- The Assistant Town Attorney’s instruction to P&Z at the July 23 hearing that “private covenants are not an issue for the planning and zoning commission.”

In short, the Town Attorney failed to comply with LUC § 5-202.C.3 and determine whether the Applicant had the authority to apply to consolidate Lots 34 and 34B without the required consents for an amendment to the Backman Village Plat and Covenants. This threshold screening by the Town Attorney was required to take place *before* the application reached P&Z, yet was not done at all. That failure “to act in accordance with the provisions of this Title,” warrants reversal or remand. LUC § 5-207.H.

The extent to which the Backman Village Plat and Covenants actually bar the lot consolidation absent an amendment to those covenants is a private property question subject to a separate court action. As the Applicant acknowledged in its September 15, 2026 Pre-Hearing Brief, this private property question is “beyond the scope of P&Z’s jurisdiction” and belongs in “the forum authorized to decide private property rights.” Appellants agree. Accordingly, with respect to the Backman Village Plat and Covenants, Appellants requested relief to Council is only to correct the Town Attorney threshold screening failure, leaving the validity and effect of the Backman Village Covenants for separate judicial resolution.

II. STANDARD OF REVIEW

Council “shall consider only the record as compiled at the hearing . . . before the reviewing body.” LUC § 5-207.F. The decision must be reversed, modified, or remanded if P&Z “acted arbitrarily and capriciously, abused its discretion, exceeded its jurisdiction, acted without proper evidence or a sufficient factual basis, or otherwise failed to act in accordance with the provisions of this Title.” LUC § 5-207.H. Council may remand “with or without instructions, which may include requirements for additional hearings, further findings, or other specific action.” § 5-207.I.

A reviewing body abuses its discretion when it misconstrues or misapplies the law. *No Laporte Gravel Corp. v. Bd. of Cnty. Comm'rs*, 2022 COA 6M, ¶¶ 22–24, 507 P.3d 1053; *see also Bd. of Cnty. Comm'rs v. O'Dell*, 920 P.2d 48, 50–51 (Colo. 1996) (a governmental body's quasi-judicial decision is upheld where supported by competent record evidence). The Applicant also relies on *O'Dell* and *No Laporte*.

The Town Attorney's failure to make the mandatory threshold determination under LUC § 5-202.C.3 is a misapplication of law that constitutes an abuse of discretion.

III. STATEMENT OF FACTS

A. Backman Village Plat and Covenants burdening Lots 34 and 34B

Lots 34 and 34B were created by the Backman Village recorded June 29, 1979 at Reception No. 212301, adopted by the Town's P&Z as the official plat ("**Backman Village Plat**"). The Plat assigns each lot its own use and density limits. For Lot 34 those are, "131 lodging or multifamily units or 112 lodging or multifamily units with 21,000 sq. ft. commercial," and for Lot 34-B, they are "45 lodging or multifamily units or 39 lodging or multifamily units with 7200 sq. ft. commercial."

The Declaration of Protective Covenants, Conditions and Restrictions (Rec. No. 212306, Book 380 pp. 377–386) ("**Backman Village Covenants**"), provides that its restrictions "shall be deemed to run with the land and to inure to the benefit of and be binding upon The Telluride Company, The Town of Telluride, and all parties now holding or hereafter acquiring any right, title or interest of any such land depicted on the Plat."

Covenants Section 2 incorporates the Plat's "densities, standards, and uses." Section 23 permits amendment "only with the written consent of The Telluride Company and The Town of Telluride." Section 30 allows the Town to increase plat densities only "for the purpose of providing employee housing, if in the future the Town passes an ordinance requiring employee housing." The Town's P&Z "Approved and Accepted" the Covenants.

B. 2008 Geiger Memorandum and Town's 2024 Practice

An August 29, 2008, Memorandum by Town Attorney Kevin Geiger to Council and P&Z (**"Geiger Memorandum"**), concluded that the Backman Village Plat and Covenants are "real covenants" that run with the land, and that amendment of these covenants would appear to require consent of the Backman Village landowners. Specifically, Mr. Geiger wrote:

... although the Backman Village Covenants appear to state that an amendment can be perfected merely by the written consent of the Town and Telco, because the Covenants run to the benefit of Backman Village landowners their consent to an amendment to the Covenants would appear to be required.

Consistent with his position that an amendment to the Backman Village Covenants would require the consent of Backman Village landowners, in 2024, when TSG Ski & Golf was exploring development of Tract Y, Mr. Geiger as Town Attorney raised a concern about "whether Backman Village HOA/Owner consent was also needed." TSG responded by obtaining a title commitment showing Tract Y lies outside the subdivision, replying that "therefore, the consent of owners within the Backman Village Subdivision is not required."

In sum, Town Attorney Kevin Geiger has at least twice taken the position with other applicants that an amendment to the Backman Village Plat and Covenants would require the consent of Backman Village landowners.

Now with respect to this Application concerning property also located in the Backman Village subdivision, the Town Attorney has failed to similarly intervene at the application stage to caution the Applicant for the need for owner consents to an amendment to the Backman Village Plat and Covenants, as is his duty under LUC § 5-202.C.3.

C. Application ownership disclosure.

The Application sought to vacate the line between Lots 34 and 34B and create Lot 34-AB and consolidate the lots under LUC § 6-404.G. The Application addressed LUC § 5-202.C.3 solely by stating the applicant has fee simple title and refers to a title commitment on file.¹

To address LUC § 6-405.C.8, the Application states: “There are no proposed covenants or restrictions for the site.” The Application does not mention the specific Plat notes limiting use and density on these two lots, or the Backman Village Plat or Covenants, or the 2008 Geiger Memorandum.

The only application completeness determination in the record is the Planning Director’s: “The Applicant submitted a complete and compliant application pursuant to 5-202.C and 6-405.C.” The Applicant’s Pre-Hearing Brief in opposition to this appeal confirms that “The Planning Director deemed the Application complete.”

D. The July 23, 2026 P&Z Hearing

Before the hearing, P&Z received public comment asking for a written Town Attorney determination on the consent question before any action:

- C7CC’s counsel’s July 21, 2026, letter to the Town Attorney enclosing the 2008 memorandum and the 2024 TSG e-mail;

¹ The title commitment is in the record. Though its effective date is May 24, 2023, and its proposed insured is “A BUYER TO BE DETERMINED,” with requirements for a resolution “AUTHORIZING THE SALE OF THE SUBJECT PROPERTY.” Thus, the commitment was prepared for a sale, not for this application. Schedule B-II lists as recorded burdens the “COVENANTS, RESTRICTIONS, RESERVATIONS AND NOTES” on the Backman Village plat (Exc. 11); the “RESTRICTIVE COVENANTS . . . RECORDED JUNE 29, 1979, IN BOOK 380 AT PAGE 377” (Exc. 14); and the “CONTRACT REGARDING BACKMAN VILLAGE SUBDIVISION RECORDED JUNE 29, 1979 IN BOOK 380 AT PAGE 405” (Exc. 15).

- C7CC’s counsel’s July 22, 2026, letter to P&Z requesting a continuance “pending . . . independent legal review of whether the Backman Village Covenants and plat permit the proposed lot line vacation without owner consent” or, at minimum, a condition requiring a recorded covenant amendment before Final Plat;
- Morgan Smith’s letter asking that P&Z “direct staff to place on the record a written legal analysis addressing the covenant and plat issues”;
- The Hopes’ request for a continuance “until the Town Attorney provides a written legal opinion” answering, among other questions, “Does the Town believe owner consent is required for the proposed consolidation? If not, what is the legal basis for that conclusion?”

At the July 23, 2026, P&Z hearing:

- Town staff’s presentation did not mention § 5-202.C.3 or the Town Attorney’s determination under that section. [Hearing Transcript pp. 2-9.]
- Appellants’ counsel Diane Wolfson entered the Geiger Memorandum and Backman Village Plat and Covenants into the record, explained that the lot-specific Plat designations “cannot be changed and put together in one consolidated lot unless you have an amendment to the plat,” and asked that the application be continued or denied “until the applicant addresses the covenant consent question in writing.” [Hearing Transcript pp. 17-23.]
- Applicant’s outside counsel responded that Kaplan Kirsch was “retained by the town to be serving as the advisor to the applicant” and that “the town attorney, of course, represents the town, as the entire organization.” [Hearing Transcript pp. 31-33.]
- Assistant Town Attorney Slaten stated: “[A]t the June 23rd meeting, Kevin Geiger did come to specifically answer questions that the planning and zoning commission had posed with respect to the private covenants. However, I want to reiterate for everyone that private covenants are not an issue for the planning and zoning commission. . . . It is not proper for them to consider those private covenants. . . .” [Hearing Transcript p. 34 lines 17 – 20.]

When Commissioner Sante asked whether the vacation was “engaging in making alterations to the Backman Village plat,” Ms. Slaten answered that “those answers were provided by, again, Kevin Geiger, at the last meeting,”² that the covenants’ applicability “will be adjudicated by a court,” and that P&Z should “stick to the criteria of the land use code.” [Hearing Transcript p. 36.] Vice Chair Green called the covenants “the giant in the room, but . . . not part of our purview,” and said that if the public wanted independent counsel for P&Z, “they need to ask town council for that.” .” [Hearing Transcript p. 38.]

P&Z approved the lot consolidation Application with a vote of 3–0 “based on the findings set forth in the staff memorandum.” [Approved Minutes.]

E. No LUC § 5-202.C.3 determination on record.

Appellants have reviewed the entire record. There is no written or oral determination by the Town Attorney, or any attorney, that the applicant had the right to submit this application under LUC § 5-202.C.3. There is no reference by any Town representative to such a determination, no analysis of the Backman Village Plat and Covenants, and no notice to Backman Village owners that the Town was proceeding on the position that their consent was unnecessary. If the Town contends the Town Attorney did make the threshold determination under LUC § 5-202.C.3, then Appellants ask that that such determination be identified by record page.

² The referred-to June meeting at which Mr. Geiger appeared is not part of the instant Application and not part of the certified record.

IV. ARGUMENT

A. **LUC § 5-202.C.3 Is a mandatory threshold screen assigned to the Town Attorney.**

LUC § 502.C.3, provides that a development application shall include a disclosure of ownership to “demonstrate to the satisfaction of the Town Attorney that the applicant has the right to submit the development application.”

Specifically, this section provides as follows:

5-202.C. **Minimum Application Contents.** All development applications shall include, at a minimum, the following information and materials.

5-202.C.3. A disclosure of ownership of the parcel on which the development is to occur listing the names of all owners of the property and all owners of mineral estates of record in the records of the San Miguel County Clerk and Recorder, mortgages, judgments, liens, easements, contracts and agreements affecting the parcel. The disclosure of ownership may be in the form of a current commitment from a title insurance company, deed, ownership and encumbrance report, attorney’s opinion, tax assessment record, contract for purchase and sale, or other documentation acceptable to the Town Attorney. The disclosure of ownership shall demonstrate to the satisfaction of the Town Attorney that the applicant has the right to submit the development application.

(Emphasis added.)

This provision sits in Article 5, Division 2, governing the contents and acceptance of a complete application. It is a gate the application must pass before reaching a decision-making body. Thus, a determination of completeness by the Planning Director, the only one in the record, is insufficient. As well, the Town Attorney’s determination cannot be supplied retroactively, and it cannot be satisfied or waived by silence.

This is a screening mechanism requiring the Town Attorney to determine whether the applicant has the legal authority to bring the application forward. Where the Town Attorney determines, for example, that certain owner consents might be required for an application, then the Town would decline to process the application until the applicant cures the owner consent defect. This is a *threshold* determination before P&Z hears the application, and failure of the Town Attorney to make the determination cannot be cured by P&Z's later approval.

B. Applicant's right to submit means legal authority to apply, not mere fee title.

The subject Application treats LUC § 5-202.C.3 as satisfied by mere fee ownership. Such a reading would make the LUC provision surplusage. An applicant holding fee title would always have "ownership," leaving the Town Attorney with nothing to determine.

The Code asks a different question: Does the applicant have the legal right to seek the approval? An applicant whose land is burdened by a recorded covenant that bars the change sought absent the consent of others clearly does not have that right.

Lots 34 and 34B are so burdened. The Backman Village Plat and Covenants are listed in the applicant's title commitment and are part of the record. These documents run with the land for the benefit of all Backman Village owners, include lot-specific density and use limits, and cap the Town's own authority to exceed them. The Town Attorney concluded in the 2008 Geiger Memorandum that Backman Village owner consent "would appear to be required" to amend Backman Village Plat and Covenants. He again reiterated that view in 2024 when responding to Tract

Here, the Applicant's legal authority to apply for a Backman Village lot consolidation without the requisite consents to amendment of the Backman Village Plat and Covenants was genuinely in question, including by reason of the Town Attorney's own prior analysis on at least two separate occasions. This triggered the LUC § 5-202.C.3 threshold screen by the Town

Attorney to determine the Applicant's authority to proceed with the Application. That threshold screen by the Town Attorney never happened.³

C. The Town applies the threshold screen to all applicants except itself.

With respect to Tract Y, Kevin Geiger as the Town Attorney raised the potential Backman Village owner consent requirement even before an application was filed.

In the Butcher Creek PUD matter that was the subject of *Kavanaugh v. Telluride Locals Coalition Petitioners' Comm.*, 2026 CO 47, ¶¶ 5, 35, 591 P.3d 39, 42, 46 [Record pp. 9–11], the Town “declined the proposal because [the developer] had not obtained the consent of all owners within the PUD, as required by the amendments clause.” This means the LUC § 5-202.C.3 threshold screening based on required owner consents was performed by Town Attorney Kevin Geiger in that case.

What distinguishes the instant Application is not the law but the Applicant.

When private parties sought approvals where recorded covenants would need owner consents, the Town Attorney readily intervened at the application threshold. When the Town sought its own approval under the same circumstances, the record shows no Town Attorney determination, but only a one-line assertion of title and an instruction to P&Z by the assistant Town Attorney that the subject was off limits.

³ Here, the applicant assured P&Z that the lot consolidation “doesn’t change the density.” But the application never says what becomes of the two separate Plat limits on uses and densities when the lots are consolidated. Town staff said only that uses “will be those as permitted in the AC-2 Zone District.” If the merged lot sheds the recorded limits, the vacation is an amendment of the Covenants by Town action alone, which is precisely what the Geiger Memorandum said could not be done without the consent of Backman Village owners.

A body that applies a threshold mandatory requirement to other applicants but not to itself as applicant acts arbitrarily.

V. RELIEF REQUESTED

Appellants request that Council make the following findings and determinations.

1. Find that the record contains no determination by the Town Attorney under LUC § 5-202.C.3, and that the only completeness determination was made by the Planning Director, which itself was insufficient;
2. Find that, in light of the Backman Village Plat and Covenants, the 2008 Geiger Memorandum, and the 2024 emails with counsel for the owner of Tract Y, the Applicant's authority to submit the Application was in question, and that LUC § 5-202.C.3 required the Town Attorney to perform the threshold screen to determine the applicant's authority *before* the application proceeded to P&Z;
3. Reverse the July 23, 2026, P&Z decision on the ground that P&Z "failed to act in accordance with the provisions of this Title, specifically LUC § 5-202.C.3, in that the application proceeded to and was approved by P&Z without any determination by the Town Attorney that the applicant had the right to submit it," or, alternatively;
4. Remand under § 5-207.I, with instructions that (a) the Town Attorney, or independent counsel given the Town's dual role, perform and document the § 5-202.C.3 screen to determine the Applicant's authority to submit the Application; and
5. Find that the actual validity and effect of the Backman Village Plat and Covenants are beyond the Town's and P&Z's jurisdiction and are reserved to the courts, and that nothing in Council's decision adjudicates, extinguishes, or impairs the recorded rights of Backman Village owners, which are preserved for judicial resolution; and

Respectfully submitted this 25th day of September, 2026.

/s/ Diane Wolfson, Esq.

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